EXECUTIVE SUMMARY

1. Introduction

The Municipality of Pamplona, Cagayan was created by ecclesiastics and was named Pamplona in 1884 by Vicar Montenegro in memory of his hometown in Spain. It is a fourth class Municipality and situated in the northeastern coast of the Province of Cagayan with an area of 17,176 hectares.

Scope of Audit

The audit covered the accounts and operations of the Municipal Government of Pamplona, Cagayan for the year 2016 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

2. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Pamplona for the year ended December 31, 2016, with comparative figures for CY 2015, are as follows:

	2016	2015	Increase (Decrease)
Financial Condition			
Total Assets	P 227,124,002.07	P 185,203,687.36	P 41,920,314.71
Total Liabilities	66,858,088.47	58,155,737.25	8,702,351.22
Total Government Equity	160,265,913.60	127,047,950.11	33,217,963.49
Financial Performance			
Total Income	P 81,733,240.13	P 74,006,154.56	P 7,727,085.57
Total Expenses	61,396,714.76	50,562,784.40	10,833,930.36
Appropriations, Allotments and Obligations			
Appropriations	P 134,992,483.86	P 116,567,185.04	P 18,425,298.82
Allotments	134,992,483.86	116,567,185.04	18,425,298.82
Obligations	60,564,484.82	61,511,640.01	(947,155.19)

Statement of Funds Transfer to and from NGA's, NGO's and PO's.

	2016	2015	Increase/(Decrease)
Fund Transferred to Other Agencies:			
Due from NGAs	P 0.00	0.00	P 0.00
Due from GOCCs	0.00	0.00	0.00
Due from LGUs	400,000.00	6,050,000.00	(5,650,000.00)
Due from NGOs/POs	0.00	0.00	0.00
Others	0.00	0.00	0.00
TOTAL	**P 400,000.00**	**6,050,000.00**	**P (5,650,000.00)**
Fund Received from Other Agencies:			
Due to Other NGAs	P 16,515,500.00	P 8,346,320.00	P 8,169,180.00
Due to LGUs	0.00	250,000.00	(250,000.00)
Due to NGOs/POs	0.00	0.00	0.00
Others	0.00	0.00	0.00
TOTAL	**P 16,515,500.00**	**P 8,596,320.00**	**P 7,919,180.00**

3. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the presentation of the financial statements of the Municipality of Pamplona, Cagayan as of December 31, 2016 due to (a) the validity, existence and correctness of the Property, Plant and Equipment accounts with net book value amounting to P62,459,852.77 as of December 31, 2016 could not be ascertained due to failure of the agency to conduct annual physical inventory of properties as of year-end; and (b) the accuracy and reliability of the reported balances of the accounts Real Property Tax Receivables and Special Education Tax Receivables totaling P31,272,842.46 are doubtful due to the absence of details to account for the composition thereof.

4. Summary of Significant Findings and Recommendations

The audit team noted the following audit observations with its recommendations to improve the performance and financial operations of the municipality;

1. **The validity, existence and correctness of the Property, Plant and Equipment accounts with net book value amounting to P62,459,852.77 as of December 31, 2016 could not be ascertained due to failure of the agency to conduct annual physical inventory of properties as of year-end which is contrary to Section 156 of COA Circular No. 92-386.**

We recommended that the Local Chief Executive create committee to conduct physical inventory of the properties of the municipality and to prepare a report thereon to be submitted to the Municipal Accountant for reconciliation with that of the accounting records, copy furnished the auditor concerned pursuant to COA Circular No. 92-386 dated October 20, 1992 and Section 122 of P. D. 1445.

2. **The accuracy and reliability of the reported balances of the accounts Real Property Tax Receivables and Special Education Tax Receivables totaling P31,272,842.46 are doubtful due to the absence of details to account for the composition thereof.**

   We recommended management to create a committee composed of members from the offices of the Municipal Treasurer, Accountant and Assessor with the primary objective of tracing back prior year's records/documents and reconcile the same. Effect the necessary adjustment(s) in the books of accounts to provide the accurate balance of the RPT/SET Receivables in the financial statements.

3. **The Municipal Treasurer incurred a total shortage of P1,090,942.52 in his cash accountability as of August 2, 2016.**

   We recommended that the Municipal Mayor direct the accountable officer to restitute immediately the missing funds and to immediately relieve the latter from his duties and responsibilities without prejudice to the filing of criminal and administrative cases to effect the recovery of the amount of shortage noted in audit. Likewise, withhold the payment of salary and other emoluments due to the Municipal Treasurer pursuant to Section 37 of P. D. 1445.

4. **Reports of Accountability for Accountable Forms With and Without Money Value were not submitted monthly to the Office of the Auditor contrary to Section 98 of PD 1445 and Section 50 of the Manual on the New Government Accounting System for LGUs Vol. II, thus, proper or authorized use or application thereof and the reporting of its use and condition were not properly monitored.**

   We recommended that the Municipal Treasurer prepare and submit regularly to the Office of the Auditor Monthly Report of Accountability for Accountable Forms With and Without Money Value to ensure compliance with the aforecited regulation and to facilitate inventory of accountable forms.

5. **The Municipality failed to fully implement existing rules and regulations pertaining to the granting, utilization and liquidation of cash advances of officials and employees of the LGU, resulting in a substantial balance of**

unliquidated cash advances amounting to P900,718.00 as at September 30, 2015.

We recommended that the Municipality comply with Section 89 of PD 1445 and the provisions of COA Circular 97-002 dated February 10, 1997 and ensure proper granting, utilization and liquidation of cash advances.

6. **Accountable Forms With Money Value amounting to P8,274.00 and Two Hundred Two pieces of Accountable Forms without Money Value were not found on hand during the conduct of cash examination on the cash and accounts of the Municipal Treasurer on August 2, 2016.**

We recommended that the Local Chief Executive direct the Municipal Treasurer to locate the missing accountable forms. Likewise, the collecting officers to whom the missing accountable forms were issued should be held accountable.

5. Summary of Total Suspensions, Disallowances and Charges as of year-end

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	0.00	0.00	0.00	0.00	
Current Year	0.00	P 273,514.56	P 273,514.56	0.00	100%
Total	0.00	0.00	0.00	0.00	
Disallowances					
Prior Years	0.00	0.00	0.00	0.00	
Current Year	0.00	0.00	0.00	0.00	
Total	0.00	0.00	0.00	0.00	
Charges					
Prior Years	0.00	0.00	0.00	0.00	
Current Year	0.00	0.00	0.00	0.00	
Total	0.00	0.00	0.00	0.00	

6. Status of Implementations of Prior Years' Audit Recommendations

Out of sixteen (16) audit recommendations in 2015 Annual Audit Report (AAR), six (6) were fully implemented, three (3) were partially implemented, and seven (7) were not implemented.

The Status of Implementation of Prior Year's Audit Recommendations is shown in Part III of this report.